

US Technology

Q2 takeaways: Enterprise software returns

Equities Technology

US & Europe

- ◆ 2QCY26 results show continued strength in software sector earnings, countering the misplaced SaaS apocalypse narrative
- ◆ Compute demand remains strong on accelerating AI adoption
- ◆ Maintain Buys on Microsoft, Oracle, Salesforce, ServiceNow and SAP on valuation and continued business momentum

We've long held the view that the "AI vs Software" debate is overblown and that software remains the primary mechanism through which enterprise AI will be deployed and monetised, as discussed in [Software 2026: Our AI outlook](#) (12 February 2026), and Q2 results across our coverage continue to support that view. As discussed in [AI Reality Check](#) (23 August 2026), the strongest evidence of adoption is currently concentrated in coding and AI-assisted research, where tools such as Claude Code and OpenAI Codex are integrated into the daily workflows of technical organisations.

Investors appear to be becoming more selective in what they reward. Headline beats alone are not enough if the path from AI capability to durable profit pools is unclear. We think the market is increasingly looking for evidence that AI is translating into stronger commercial outcomes, such as attach rates, commitment expansions, renewals, and more durable revenue growth. However, investors are also paying closer attention to the near-term trade-offs, including gross margin pressure from higher AI usage and capital intensity from infrastructure buildouts. This should drive wider dispersion across the sector, with outcomes determined by execution.

Continued scaling of enterprise AI adoption remains supportive of capex. As AI diffuses across and is embedded within enterprise workflows, we believe the demand for compute capacity should continue to grow *enormously*, supporting a long-run investment cycle for compute providers. Moreover, these investments continue to fuel even more demand across the broader AI ecosystem, from software platforms that operationalise AI, to hyperscalers and data centres, networking, optical, and connectivity suppliers.

Valuations remain supportive. Throughout our coverage, the market is still underwriting disruption risk while waiting for broader proof that AI productization is translating into durable adoption. As evidence of monetisation builds into the back half, we think there is scope for confidence to improve and for select areas to re-rate, with dispersion increasingly driven by execution rather than narrative.

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Taking a look back at Q2 earnings performance

As discussed in [Software 2026: Our AI outlook](#) (12 Feb 2026), we see software as the control layer for enterprise AI and 2026 as the year AI shifts from build-out to productization, with monetized, agent-driven capabilities embedded directly into enterprise workflows. Q2 reporting supports a constructive set-up, with improving fundamentals and positive estimate revisions across our coverage and valuations that still screen attractive versus history. 23 out of 25 companies beat revenue, and 24 out of 25 beat EPS estimates, while future estimates for our coverage, on average, were revised higher on revenue by 1.5% and on EPS by 3.5%, led by Cloud and Data Infrastructure with EPS up 4.6%. Multiples have stabilized after an early year de-rating, with consensus NTM P/E having troughed around 20x, about 2 standard deviations below the five-year average, and now still sitting below longer-term norms. Within that, Software remains the most discounted area, with SaaS and Workflow valuations more than 1 standard deviation below the five-year average, even as Q2 added evidence that AI monetization is becoming measurable and that enterprise adoption is moving from pilots toward deployment.

AI is moving from pilot programmes to real enterprise deployment, with management teams increasingly describing AI products as a sellable set of capabilities rather than proof of concept activity. A consistent theme across results was clearer evidence of n, with more direct disclosure of AI related bookings, recurring revenue contribution, and more commentary on attach and expansion tied to AI functionality. Overall, the quarter reinforced the shift from experimentation toward productization and measurable monetisation, with a growing number of companies now supporting the narrative with reported metrics.

AI monetization is now measurable at the application layer. ServiceNow AI ACV is over USD1bn; Salesforce Agentforce ARR is now over USD1.5bn (up by more than 240% y-o-y) and AI+Data ARR is cUSD3.9bn (up by more than 210% y-o-y); Microsoft 365 Copilot has over 30m paid seats; Adobe AI-first ARR is over USD650m (up more than 150% y-o-y), and Snowflake attributes half its acceleration to AI workloads. These are no longer pilot numbers.

Earnings: consensus vs actual

	Period	Revenue (USDm)			Non-GAAP Operating Income (USDm)			Non-GAAP Diluted EPS (USDm)		
		Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss
Cloud Platforms & Data Infrastructure										
CoreWeave	2QFY26	2,563	2,575	0.5%	72	128	76.9%	(1.07)	(1.03)	3.6%
Cisco	4QFY26	16,831	17,252	2.5%	5,855	6,198	5.9%	1.17	1.22	4.4%
Coming	2QFY26	4,646	4,738	2.0%	964	989	2.6%	0.75	0.78	3.2%
IBM	2QFY26	17,431	17,162	-1.5%	3,575	3,489	-2.4%	2.91	2.93	0.6%
Microsoft	4QFY26	87,765	90,007	2.6%	38,976	40,603	4.2%	4.26	4.74	11.2%
Oracle	1QFY27	19,092	19,345	1.3%	7,811	8,151	4.4%	1.75	1.95	11.5%
Palantir	2QFY26	1,814	1,935	6.7%	1,082	1,194	10.4%	0.35	0.41	16.1%
Snowflake	2QFY26	1,483	1,547	4.3%	187	237	26.5%	0.45	0.62	38.4%
TE Connectivity	3QFY26	5,015	5,160	2.9%	1,100	1,129	2.6%	2.85	2.94	3.1%
SaaS & Workflow Platforms										
Adobe	3QFY26	6,697	6,760	0.9%	2,950	2,974	0.8%	6.07	6.14	1.1%
Autodesk	2QFY27	2,013	2,046	1.7%	789	832	5.4%	3.12	3.30	5.7%
Asana	2QFY27	214	216	1.0%	19	22	12.4%	0.09	0.10	16.5%
Salesforce	2QFY27	11,326	11,345	0.2%	3,832	3,872	1.0%	3.28	5.90	79.7%
Docusign	2QFY27	868	876	0.9%	260	277	6.3%	1.10	1.16	5.6%
Intuit	4QFY26	4,268	4,354	2.0%	1,310	1,448	10.6%	3.58	4.03	12.6%
ServiceNow	2QFY26	3,924	3,987	1.6%	1,051	1,173	11.6%	0.86	0.90	5.0%
Twilio	2QFY26	1,427	1,499	5.0%	258	285	10.3%	1.33	1.47	10.9%
Zoom	2QFY27	1,268	1,277	0.7%	513	510	-0.5%	1.48	1.55	4.8%
Fair Isaac	3QFY26	685	674	-1.5%	416	415	-0.3%	11.95	12.18	1.9%
SAP	2QFY26	11,241	11,280	0.3%	3,294	3,132	-4.9%	1.97	1.81	-8.4%
Cybersecurity & Security Platforms										
Akamai Technologies	2QFY26	1,093	1,100	0.6%	278	271	-2.7%	1.58	1.59	0.5%
CrowdStrike	2QFY27	1,441	1,471	2.1%	349	372	6.6%	0.29	0.31	5.5%
Fortinet	2QFY26	1,888	2,048	8.5%	643	779	21.1%	0.75	0.90	20.2%
Palo Alto Networks	Q4FY26	3,353	3,410	1.7%	982	1,011	3.0%	0.98	1.03	5.1%
Hardware										
HP Inc	Q3FY26	14,584	15,677	7.5%	908	1,021	12.4%	0.71	0.83	17.4%

Source: Visible Alpha

Continued scaling of enterprise adoption of AI is supportive of continued capex. As AI workflows become embedded into global enterprises, demand for compute should rise as a result. Cloud results in Q2 were consistent with that demand pull, with Microsoft reporting Azure growth of 43% y-o-y in constant currency and guiding to roughly 45% next quarter. Oracle provided another proof point with OCI GPU compute revenue up 150% y-o-y with average GPU utilisation of 97.9%. We view capex as necessary to meet rising AI demand and note that names in our coverage have held guidance steady as the market has turned more sceptical on investment.

The cost of AI is now also visible in the P&L. Overall, we see the debate has moved from revenue disruption in Q1 to gross margin pressure this quarter. Almost every application vendor that is scaling AI usage called out COGS pressure from inference and higher token costs. Many teams were clear that driving adoption and AI product revenue growth is the near-term priority, with gross margin optimization expected to follow as unit economics mature. The important offset is that management expects AI offerings to support commercial momentum, including net new ARR, higher attach and expansion, and stronger renewals, which in turn drives upsell and expands share of wallet. Despite the gross margin headwind, operating income and EPS often proved more resilient, supported by disciplined opex, price increases, headcount mix, and in some cases explicit AI-driven productivity gains from internal deployment.

Earnings surprise & share price performance post earnings

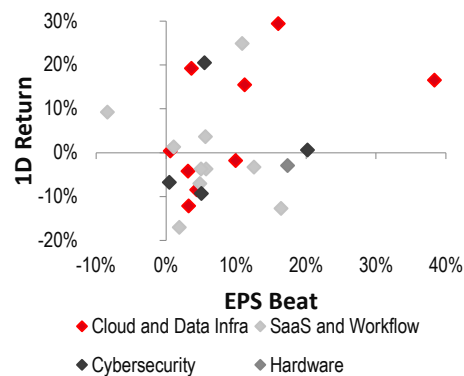
	Period	Actual vs Consensus (Beat/Miss)			Share Price Performance		
		Revenue	Non-GAAP Operating Income	Non-GAAP EPS Diluted	Post Earnings reaction	Performance Since Follow through Earnings	
Cloud Platforms & Data Infrastructure							
CoreWeave	2QFY26	0.5%	76.9%	3.6%	19.3%	-5.4%	-24.7%
Cisco	4QFY26	2.5%	5.9%	4.4%	-8.4%	-10.0%	-1.6%
Coming	2QFY26	2.0%	2.6%	3.2%	-12.1%	26.2%	38.3%
IBM	2QFY26	-1.5%	-2.4%	0.6%	0.4%	12.7%	12.3%
Microsoft	4QFY26	2.6%	4.2%	11.2%	15.5%	28.4%	12.9%
Oracle	1QFY27	1.3%	4.4%	9.9%	-1.7%	-2.9%	-1.1%
Palantir	2QFY26	6.7%	10.4%	16.1%	29.5%	45.7%	16.2%
Snowflake	2QFY26	4.3%	26.5%	38.4%	16.6%	11.0%	-5.6%
TE Connectivity	3QFY26	2.9%	2.6%	3.1%	-4.2%	4.9%	9.0%
SaaS & Workflow Platforms							
Adobe	3QFY26	0.9%	0.8%	1.1%	1.4%	0.3%	-1.1%
Autodesk	2QFY27	1.7%	5.4%	5.7%	-3.7%	-19.1%	-15.5%
Asana	2QFY27	1.0%	12.4%	16.5%	-12.7%	-5.5%	7.2%
Salesforce	2QFY27	0.2%	1.0%	79.7%	22.6%	15.0%	-7.6%
Docusign	2QFY27	0.9%	6.3%	5.6%	3.7%	3.9%	0.2%
Intuit	4QFY26	2.0%	10.6%	12.6%	-3.2%	-14.9%	-11.7%
ServiceNow	2QFY26	1.6%	11.6%	5.0%	-3.7%	44.2%	47.9%
Twilio	2QFY26	5.0%	10.3%	10.9%	24.9%	37.7%	12.8%
Zoom	2QFY27	0.7%	-0.5%	4.8%	-7.0%	-9.9%	-2.9%
Fair Isaac	3QFY26	-1.5%	-0.3%	1.9%	-17.0%	-32.7%	-15.7%
SAP	2QFY26	0.3%	-4.9%	-8.4%	9.3%	42.5%	33.2%
Cybersecurity & Security Platforms							
Akamai Technologies	2QFY26	0.6%	-2.7%	0.5%	-6.8%	-1.0%	5.8%
CrowdStrike	2QFY27	2.1%	6.6%	5.5%	20.5%	31.8%	11.3%
Fortinet	2QFY26	8.5%	21.1%	20.2%	0.7%	14.4%	13.7%
Palo Alto Networks	Q4FY26	1.7%	3.0%	5.1%	-9.3%	2.7%	12.0%
Hardware							
HP Inc	Q3FY26	7.5%	12.4%	17.4%	-2.9%	8.0%	10.9%

Source: Visible Alpha

Price performance

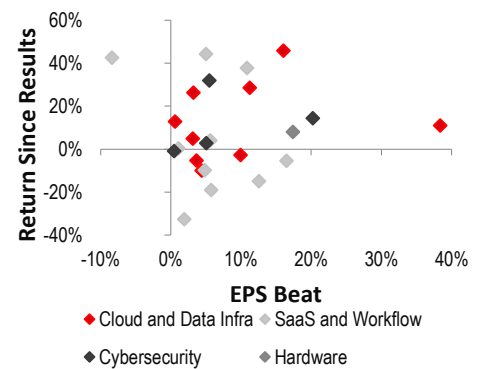
While EPS and Revenue beats were abundant in the prior quarter, share price performance didn't immediately map to strong headline results. In fact, on the day immediately following reporting, 13 out of 25 companies in our coverage had negative returns despite 24 out of 25 beating consensus EPS estimates. At the same time, some of the best performers in the following day had only moderate EPS beats when compared to other names in our coverage. Returns since reporting have normalized with a larger degree of companies with EPS beats exhibiting positive returns, but still, the relationship between percent EPS beat and price return remains muddy, especially within the SaaS and Workflow platforms subsector where a high degree of names still exhibit negative returns despite positive results. Names within the US tech sector now appear to be trading more on sustainable AI monetization metrics than headline figures.

1d returns have skewed negative despite positive results



Source: Visible Alpha

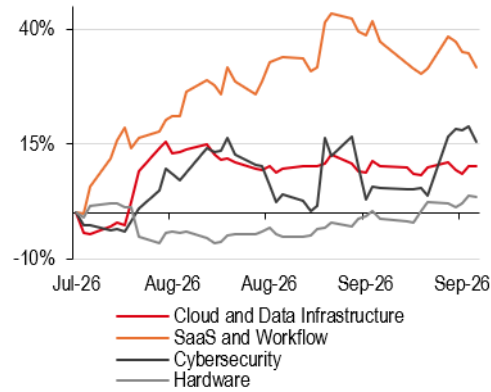
On a longer time frame, returns have been more positive



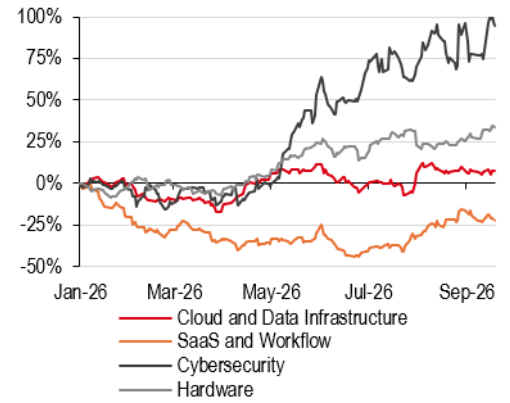
Source: Visible Alpha

Despite underwhelming post-earnings returns at the individual level, the SaaS and Workflow platforms sector has been the best performing subsector in our coverage since our reporting season began on July 22, 2026. A handful of large market cap names with impressive results, both on headline and AI monetization metrics, have driven c30% returns for the subsector over the course of the reporting period.

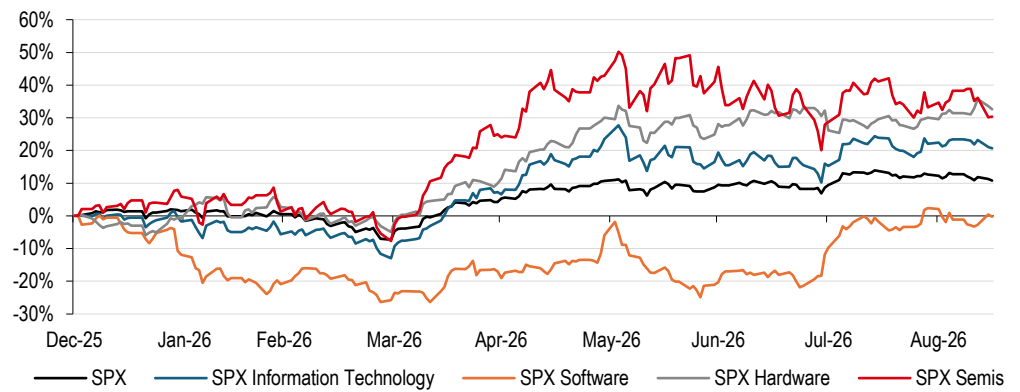
Year-to-date, the Q1 market pressure on Tech stocks has largely reversed at the index level, we see the recovery as concentrated primarily in the Cybersecurity names and Cloud and Data Infrastructure names in our coverage. Seat-based application vendors are still being valued as if AI is a cost, not a tailwind.

SaaS has outperformed since reporting began


Source: LSEG Datateam, HSBC

But is still the biggest underperformer YTD


Source: LSEG Datateam, HSBC

YTD, SPX Software Benchmark the only tech subsector to trail SPX


Source: Bloomberg, SPX Information Technology is any company included in the S&P 500 with a GICS L1 designation Information Technology, SPX Software is any company included in the S&P 500 with GICS L2 designation Software and Services, SPX Hardware is any company included in the S&P 500 with a GICS L2 designation Tech Hardware, SPX Semis is any company included in the S&P 500 with a GICS L2 designation Semiconductors & Semiconductor Equipment.

Guidance and consensus revisions

Post Q2 results, revisions were positive at the headline level but remained selective by subsector. Across our coverage, mean revenue estimates moved up 1.5%, while operating income and EPS rose 2.2% and 3.5%, respectively. Revisions were most constructive in Cloud Platforms and Data Infrastructure, where revenue increased 2.5%, operating income 3.9%, and EPS 4.6%, led by particularly strong upward moves in Palantir with EPS up 9.4% and Snowflake up 14.6%, while most others saw smaller but positive tweaks. SaaS and Workflow Platforms saw a more muted pattern with revenue up 0.4%, operating income up 0.3%, and EPS up 2.8%, reflecting a market that is still looking for broader evidence of durable results. Cybersecurity and Security Platforms revisions were constructive overall, with revenue up 1.7%, operating income up 2.5%, and EPS up 3.2%, while Hardware also saw a meaningful uplift with HP revenue up 3.4%, operating income up 4.1%, and EPS up 6.1%. Overall, the revision set supports a constructive sector narrative, but conviction continues to concentrate around names in Cloud and Data Infrastructure and Cybersecurity where the market sees favourable AI tailwinds; continued pessimism around SaaS still reflects cautious market participants in the face of potential AI disruption.

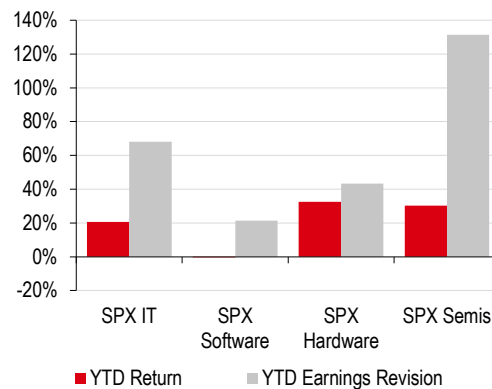
Consensus revisions post earnings

Company	Period	Revenue (USDm)			Operating income (USDm)			EPS Diluted (USD)		
		Pre-results	Current	% Delta	Pre-results	Current	% Delta	Pre-results	Current	% Delta
Cloud Platforms & Data Infrastructure										
CoreWeave, Inc.	FY-2026	12,705	12,924	1.7%	1,000	1,084	8.4%	(3.44)	(3.87)	-12.4%
Cisco Systems, Inc.	FY-2027	68,759	72,917	6.0%	23,855	25,630	7.4%	4.79	5.09	6.4%
Corning Incorporated	FY-2026	19,128	19,237	0.6%	4,066	4,139	1.8%	3.19	3.21	0.7%
International Business Machines Corporation	FY-2026	70,492	70,296	-0.3%	14,990	14,911	-0.5%	12.13	12.34	1.7%
Microsoft Corporation	FY-2027	385,460	391,014	1.4%	178,748	181,960	1.8%	19.36	19.69	1.7%
Oracle Corporation	FY-2027	89,439	90,432	1.1%	36,235	36,562	0.9%	8.10	8.18	0.9%
Palantir Technologies Inc	FY-2026	7,740	8,209	6.1%	4,566	4,951	8.4%	1.49	1.63	9.2%
Snowflake Inc	FY-2027	6,100	6,306	3.4%	827	916	10.7%	1.94	2.21	14.0%
TE Connectivity Plc	FY-2026	19,609	19,839	1.2%	4,300	4,355	1.3%	11.24	11.44	1.8%
Mean (excl. CRWV)				2.4%			4.0%			4.5%
SaaS & Workflow Platforms										
Adobe Systems Incorporated	FY-2026	26,555	26,607	0.2%	11,948	11,968	0.2%	24.38	24.48	0.4%
Autodesk, Inc.	FY-2027	8,207	8,325	1.4%	3,196	3,246	1.6%	12.58	12.60	0.2%
Asana Inc	FY-2027	861	862	0.1%	85	85	0.9%	0.37	0.38	0.9%
Docusign Inc	FY-2027	46,156	46,289	0.3%	15,856	15,885	0.2%	14.13	16.75	18.5%
Fair Isaac Corp	FY-2026	3,497	3,505	0.2%	1,078	1,100	2.0%	4.56	4.63	1.6%
Intuit Inc.	FY-2027	23,687	23,404	-1.2%	9,970	9,993	0.2%	27.37	29.20	6.7%
SAP SE	FY-2026	16,188	16,209	0.1%	5,099	5,108	0.2%	4.13	4.07	-1.4%
Salesforce Com Inc	FY-2027	5,818	6,001	3.1%	1,095	1,151	5.1%	5.71	5.92	3.7%
ServiceNow, Inc.	FY-2026	5,090	5,091	0.0%	2,073	2,072	-0.1%	6.03	6.13	1.8%
Twilio Inc	FY-2026	2,559	2,541	-0.7%	1,544	1,533	-0.7%	43.20	42.85	-0.8%
Zoom Communications Inc.	FY-2027	46,649	46,185	-1.0%	13,843	13,515	-2.4%	8.36	8.14	-2.6%
Mean				0.2%			0.7%			2.6%
Cybersecurity & Security Platforms										
Akamai Technologies, Inc.	FY-2026	4,501	4,491	-0.2%	1,171	1,144	-2.3%	6.69	6.70	0.2%
CrowdStrike Holdings Inc	FY-2027	5,946	6,005	1.0%	1,472	1,505	2.3%	1.23	1.25	1.8%
Fortinet, Inc.	FY-2026	7,804	8,096	3.7%	2,708	2,926	8.0%	3.15	3.42	8.6%
Palo Alto Networks, Inc.	FY-2027	13,825	14,159	2.4%	4,092	4,185	2.3%	4.09	4.18	2.4%
Mean				1.7%			2.6%			3.2%
Hardware										
HP Inc	FY-2026	57,802	59,794	3.4%	3,850	4,009	4.1%	3.06	3.25	6.1%
Coverage mean (excl. CRWV)				1.4%			2.5%			2.9%

Source: Visible Alpha

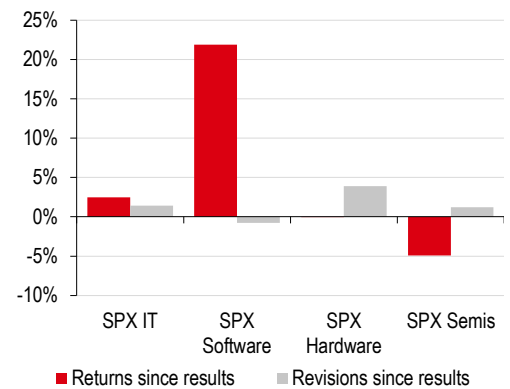
Valuation

Returns have not kept pace with earnings revisions YTD, compressing multiples for the sector



Source: Bloomberg

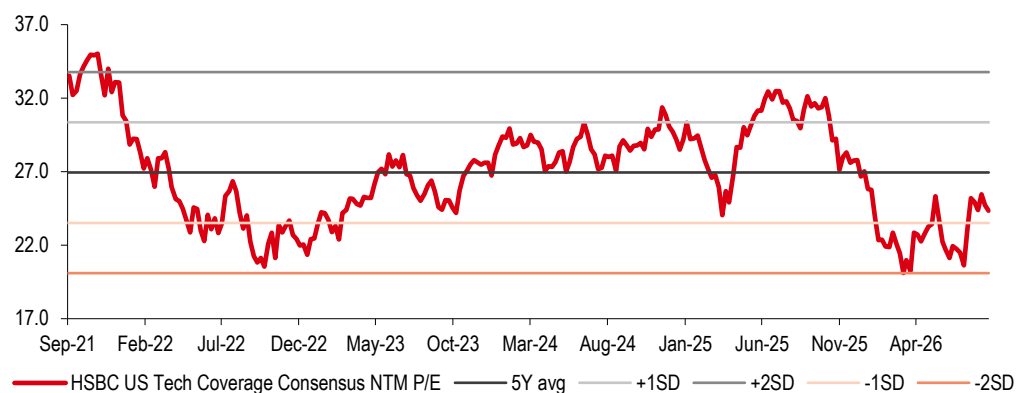
But since Q2 reporting, Software and broader Tech are being driven by multiple expansion



Source: Bloomberg

So far, YTD EPS revisions for several tech benchmarks have outpaced returns in those subsectors. Hardware has seen the most direct earnings effect of revisions on price returns whereas Software, Semis, and the broader sector have seen muted responses. As a result of this effect, we have seen a compression in the multiples the market is applying to the stocks within the sector. Since Q2 reporting began we have seen Software and Tech returns outpace earnings revisions indicating short term multiple expansion. Within our coverage universe, consensus NTM P/E multiples troughed at roughly 20x, around 2 standard deviations below the five-year average in April. Q2 reporting has helped stabilize sentiment by providing more tangible proof points around AI-linked demand and productization, providing a price uplift that has allowed for multiples to recover. That said, we think the group still trades at an attractive valuation, still sitting just about 1 standard deviation below its five-year average.

Consensus still discounting US Tech versus historic multiples

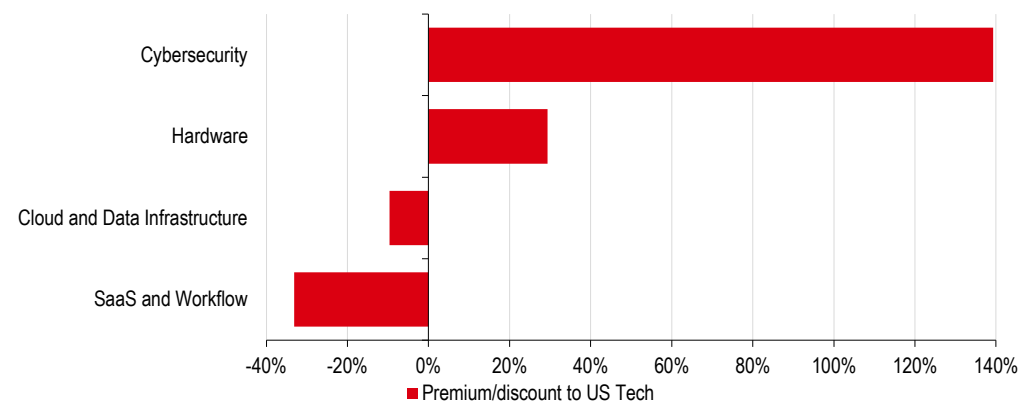


Source: Visible Alpha, LSEG Datastream, HSBC

Within our universe, the market continues to apply the most favourable valuation to Cybersecurity, which carries the highest consensus NTM P/E and has been supported by heightened urgency as agentic AI increases both attack capability and the need for automated

defence. In contrast, Cloud and Data Infrastructure has not been uniformly rewarded despite strong AI-driven fundamentals, as investor focus remains on the sustainability of the hyperscaler capex cycle and the implications for longer-term ROIC and free cash flow. SaaS and Workflow remains the most discounted area, reflecting persistent concern that AI changes how software is built and consumed, even as Q2 delivered incremental evidence that the “software as the enterprise control layer” thesis is gaining traction and that AI monetisation is becoming more measurable.

SaaS and Cloud trade at the smallest premium within the sector



Source: Visible Alpha, LSEG Datastream, HSBC

Cloud Platforms & Data Infrastructure

Cloud Platforms and Data Infrastructure remains one of the clearest beneficiaries of AI moving from pilot programmes to scaled enterprise deployment. As AI becomes embedded in enterprise workflows, it is translating into higher utilisation and consumption at the cloud layer, which underwrites the case for continued hyperscaler capex and continues to pull demand through the supply chain into networking, optical, and connectivity.

At the infrastructure layer, results reinforced the enterprise demand signal. **Microsoft** reported Azure growth of 43% y-o-y in constant currency and guided to roughly 45% next quarter, consistent with sustained AI-driven consumption and backlog conversion. Copilot users reached 30m, still only around 5% of the Microsoft 365 installed base, reinforcing the runway for further enterprise deployment and associated compute demand. **Oracle** showed similar strength in AI infrastructure monetisation, with OCI GPU compute revenue up 150% y-o-y, average GPU utilisation at 97.9%, and renewals struck at 20% premiums, suggesting continued capacity tightness and durable demand. Notably, both names opted to keep capex guidance flat against a market backdrop which has punished big spenders.

Downstream, the same capex cycle continues to translate into improving order flow and multi-year visibility. **Corning** reported that the portion of Optical tied to AI data centres nearly doubled in the quarter, supported by customer-backed long-term agreements including commitments up to USD6bn, which enable more disciplined capacity expansion. **Cisco**'s AI exposure is showing up most clearly in hyperscaler-led data centre networking, with hyperscaler revenue estimated at USD3,799m in FY26 (up 273% y-o-y) and guided to almost double to USD7.5bn in FY27e, supported by USD9.3bn of hyperscaler orders in FY26. While investor concern persists around the duration of hyperscaler spend, these upstream signals remain consistent with enterprise production workloads continuing to pull through infrastructure buildout rather than reflecting a one-off catch-up cycle.

Earnings: consensus vs actual

	Period	Revenue (USDm)			Non-GAAP Operating Income (USDm)			Non-GAAP Diluted EPS (USDm)		
		Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss
Cloud Platforms & Data Infrastructure										
CoreWeave	2QFY26	2,563	2,575	0.5%	72	128	76.9%	(1.07)	(1.03)	3.6%
Cisco	4QFY26	16,831	17,252	2.5%	5,855	6,198	5.9%	1.17	1.22	4.4%
Coming	2QFY26	4,646	4,738	2.0%	964	989	2.6%	0.75	0.78	3.2%
IBM	2QFY26	17,431	17,162	-1.5%	3,575	3,489	-2.4%	2.91	2.93	0.6%
Microsoft	4QFY26	87,765	90,007	2.6%	38,976	40,603	4.2%	4.26	4.74	11.2%
Oracle	1QFY27	19,092	19,345	1.3%	7,811	8,151	4.4%	1.75	1.92	9.9%
Palantir	2QFY26	1,814	1,935	6.7%	1,082	1,194	10.4%	0.35	0.41	16.1%
Snowflake	2QFY26	1,483	1,547	4.3%	187	237	26.5%	0.45	0.62	38.4%
TE Connectivity	3QFY26	5,015	5,160	2.9%	1,100	1,129	2.6%	2.85	2.94	3.1%

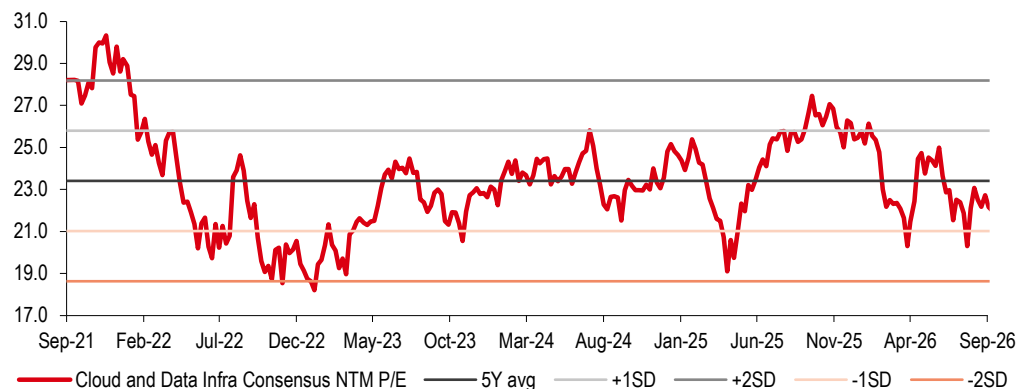
Source: Visible Alpha

Consensus revisions post earnings

Company	Period	Revenue (USDm)			Operating income (USDm)			EPS Diluted (USD)		
		Pre-results	Current	% Delta	Pre-results	Current	% Delta	Pre-results	Current	% Delta
Cloud Platforms & Data Infrastructure										
CoreWeave, Inc.	FY-2026	12,705	12,924	1.7%	1,000	1,084	8.4%	(3.44)	(3.87)	-12.4%
Cisco Systems, Inc.	FY-2027	68,759	72,917	6.0%	23,855	25,630	7.4%	4.79	5.09	6.4%
Coming Incorporated	FY-2026	19,128	19,237	0.6%	4,066	4,139	1.8%	3.19	3.21	0.7%
International Business Machines Corporation	FY-2026	70,492	70,296	-0.3%	14,990	14,911	-0.5%	12.13	12.34	1.7%
Microsoft Corporation	FY-2027	385,460	391,014	1.4%	178,748	181,960	1.8%	19.36	19.69	1.7%
Oracle Corporation	FY-2027	89,439	90,432	1.1%	36,235	36,562	0.9%	8.10	8.18	0.9%
Palantir Technologies Inc	FY-2026	7,740	8,209	6.1%	4,566	4,951	8.4%	1.49	1.63	9.2%
Snowflake Inc	FY-2027	6,100	6,306	3.4%	827	916	10.7%	1.94	2.21	14.0%
TE Connectivity Plc	FY-2026	19,609	19,839	1.2%	4,300	4,355	1.3%	11.24	11.44	1.8%
Mean (excl. CRWV)				2.4%			4.0%			4.5%

Source: Visible Alpha

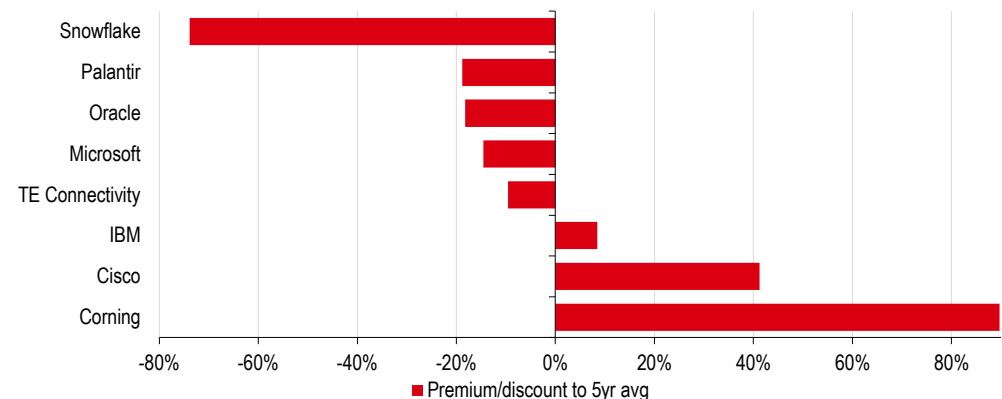
At the data and analytics layer **Palantir** looks to have a clear head start in integrating AI into enterprise workflows. We do, however, question the sustainability of this monetization stream at current multiples with very well-funded competitors like OpenAI, Anthropic, and others mimicking Palantir's forward deployed engineer model with ambitions to take share in the market. **Snowflake** demonstrated strong results this quarter with management indicating AI products accounted for roughly half of the recent growth acceleration, and also highlighted faster customer activation, with newer cohorts reaching 80% of purchased consumption more quickly, consistent with AI moving from experimentation into production and reinforcing the underlying consumption flywheel.

Cloud and Data Infra still trades at a discount to historical multiples


Source: Visible Alpha, LSEG Datastream, HSBC

For much of 2025, the market rewarded Cloud and Data infrastructure names as clear AI demand and capex beneficiaries with consensus applying multiples 1 standard deviation higher than their historical average. Continued scepticism around that capex has driven consensus NTM P/E ratios for the sector lower when compared to that period and, at one point, as much as 1 standard deviation lower than their 5-year average. The current valuation is now a modest 6% discount to the 5-year average.

With many AI beneficiaries still with large discounts to historical multiples



Source: Visible Alpha, LSEG Datastream, HSBC

[Oracle](#) (ORCL US, CMP USD148.56, Buy, TP USD316.00)

Oracle's AI monetisation is most visible in OCI, where GPU-led demand is keeping capacity tight and supporting higher renewal pricing. OCI revenue rose 150% y-o-y to cUSD6.5bn in 1QFY27 as Oracle added 850MW+ of data-centre capacity. GPU utilisation was 97.9% and renewals/resales were completed at c20% premia, pointing to durable demand. Efficiency improved with revenue/average gross PPE (including leased assets) up to 24.0% from 22.9%, and 2Q guidance implies c26%.

1QFY27 revenue was USD19.3bn (+29.6% y-o-y). Non-GAAP gross margin fell to 61.0% (down 769bp) on a heavier IaaS mix, while non-GAAP operating margin rose to 42.1% on cost control. Non-GAAP EPS was USD1.95. FY27 guidance increased to >USD90bn revenue and USD8.10 EPS. Capex was USD28.5bn (offset by USD15.4bn in advances) and net debt declined to USD88.3bn.

[Snowflake](#) (SNOW US, CMP USD339.39, Buy, TP USD470.00)

Snowflake's AI monetisation signals strengthened, with rapid penetration of AI products and a rising AI-led contribution to usage that is also lifting core consumption. CoCo adoption surpassed 9,100 accounts (+2,000+ net adds) and CoWork reached 5,800 accounts (+c11% q-o-q). Management indicated AI products drove roughly half of the recent growth acceleration.

2QFY27 results beat expectations and guidance was raised. Revenue was USD1.55bn (+35.1% y-o-y), driven by product revenue of USD1.49bn (+36.8%). Non-GAAP operating profit was USD237m and operating margin improved to 15.3% on leverage and AI-driven productivity gains. Non-GAAP EPS was USD0.62. FY27 revenue guidance increased to USD6.389bn and operating margin guidance to 14.5%, while product gross margin guidance was trimmed to 74% on AI mix.

Cisco (CSCO US, CMP USD111.46, Hold, TP USD120.00)

Cisco's AI monetisation is clearest in data-centre networking, with hyperscalers driving demand. Hyperscaler revenue is estimated at USD3.8bn in FY26 (+273% y-o-y) and is guided to cUSD7.5bn in FY27e, supported by USD9.3bn of hyperscaler orders in FY26. Management expects FY27 hyperscaler orders to be meaningfully higher, keeping near-term momentum strong, with risk pushed into FY28–FY29 as comps tighten and buildouts mature.

4QFY26 revenue was USD17.25bn (+17.6% y-o-y) with non-GAAP operating margin of 35.9% and non-GAAP EPS of USD1.22. FY27 guidance was raised to USD72.8bn revenue and USD5.08 non-GAAP EPS. Management noted y-o-y EPS growth is expected to peak in 1QFY27 before settling into high single digits.

CoreWeave (CRWV US, CMP USD85.43, Reduce, TP USD39.00)

CoreWeave's AI monetisation is evident in the scale of demand, but turning that demand into durable economic value remains the key debate. 2Q26 revenue was USD2.575bn (+112% y-o-y) and FY26 revenue is guided to USD12.8bn. Management is leaning into unit economics through pricing, noting c25% stock-keeping unit price increases starting July 2026 and that newer deals carry 5 to 10 percentage points higher contribution margins. Offsetting this, asset turnover remains weak, leaving the model sensitive to depreciation and financing costs.

2Q26 results were better than conservative expectations on operating profitability, even as capex stepped higher. Non-GAAP operating profit was USD128m, driving a 5.0% operating margin. Non-GAAP earnings before interest, tax, depreciation and amortisation was USD1.51bn, while non-GAAP net profit was -USD567m, or EPS -USD1.03. The company raised FY26 non-GAAP operating profit guidance to USD1.055bn at the midpoint and lifted FY26 capex guidance to USD37bn. Net debt ended the quarter at USD28.4bn.

Palantir (PLTR US, CMP USD183.09, Hold, TP USD162.00)

Palantir's AI momentum is driven by the strength of its data model and operating approach, which management argues shortens time to value when deploying enterprise AI. The company continues to position its forward deployed engineer model and integrated data, security, and workflow layers as key differentiators, supporting strong commercial traction and contracting activity. However, this advantage may be challenged as well funded competitors (OpenAI and Anthropic) push similar enterprise integration approaches.

2Q26 results were strong versus expectations, with upside across revenue and profitability and a lift to full year guidance. Revenue grew 92.8% y-o-y to USD1.935bn, while non-GAAP operating profit rose 157.2% y-o-y to USD1.194bn, with operating margin expanding to 61.7%. Non-GAAP EPS was USD0.41 versus USD0.35 consensus. FY26 revenue guidance was raised to USD8.154bn and non-GAAP operating profit guidance to USD4.893bn.

Microsoft (MSFT US, CMP USD501.61, Buy, TP USD595.00)

Microsoft's AI monetisation is increasingly visible across infrastructure and applications, but it continues to be paired with heavy investment. Azure demand remains strong with 4QFY26 Azure up 43% y-o-y in CC, ahead of the 39% to 40% guide, and 1QFY27 guided to about 45% y-o-y in CC. Microsoft 365 Copilot adoption is also ramping, with users rising to 30m in 4QFY26 from 20m in 3Q and 15m in 2Q. On capex, Microsoft reduced implied 2H CY26 capex guidance to USD107bn largely due to accounting changes, while leaving the underlying investment trajectory intact.

4QFY26 revenue was USD90.0bn (+17.7% y-o-y) and non-GAAP operating margin held up at 45.11%. Non-GAAP EPS was USD4.74 (+29.9% y-o-y). Commercial RPO increased to USD684bn (+82% y-o-y), and management attributed the USD51bn sequential increase to customers other than frontier model providers. For 1QFY27, management guided non-GAAP operating profit of USD43.85bn.

Corning (GLW US, CMP USD158.98, Buy, TP USD226.00)

AI monetisation is showing up in Corning's fundamentals, led by optical content into AI data centres. In 2Q26, Optical sales grew 32% y-o-y, with Optical net income up 77% y-o-y to USD438m, which management attributes to mix and generative AI product density rather than fibre spot pricing. Within Optical, the Enterprise business grew 65% y-o-y to USD1.27bn, and the portion tied to AI data centres nearly doubled. Longer term, customer-backed long-term agreements support multi-year visibility and capacity expansion, but near-term upside is constrained by supply.

Revenue was USD4.74bn (+17.1% y-o-y) with non-GAAP operating margin of 20.9% and non-GAAP EPS of USD0.78. Adjusted FCF was USD1.42bn. For 3Q26, management guided revenue of USD4.9 to 5.0bn and non-GAAP EPS up to USD0.89.

IBM (IBM US, CMP USD231.93, Reduce, TP USD174.00)

IBM's quarter showed slowing growth and a more complicated profitability mix. 2Q26 revenue was USD17.16bn, up 1% y-o-y in CC (slowing from 6% in 1Q26), and IBM reduced its 2026 CC revenue growth outlook to 4% to 5%. While non-GAAP profit-before-tax margin increased 30bp, the uplift was driven largely by non operating income, with non-GAAP other income rising to USD280m from USD65m in 2Q25. Non-GAAP operating margin declined 106bp y-o-y to 20.4%, raising questions about the sustainability of margin progression.

TE Connectivity (TEL US, CMP USD210.01, Hold, TP USD216.00)

AI-related demand is tangible for TE, but we see limited evidence of incremental monetisation beyond expectations. TE is benefiting from in-rack copper and rack power plus data-centre-linked grid infrastructure. Digital Data Networks rose to USD813m (+34% y-o-y) with AI more than 70% of Digital Data Networks and orders up more than 70% year to date, while Energy delivered USD516m (+34% y-o-y) on data centre buildouts. However, this is largely a copper-led in-rack scale-up opportunity that is already well appreciated, and TE remains more limited in optical-heavy scale-out.

Revenue was USD5.16bn (+13.8% y-o-y; 12% organic), with orders at USD5.7bn (+27% y-o-y) and a 1.10x book to bill. Profitability surprised positively, with non-GAAP operating profit USD1.129bn (+25.3% y-o-y) and non-GAAP EPS USD2.94 (+29.5% y-o-y). 4Q guidance implies a growth deceleration, and Transportation, about half of revenue, remains a key swing factor.

SaaS and Workflow Platforms

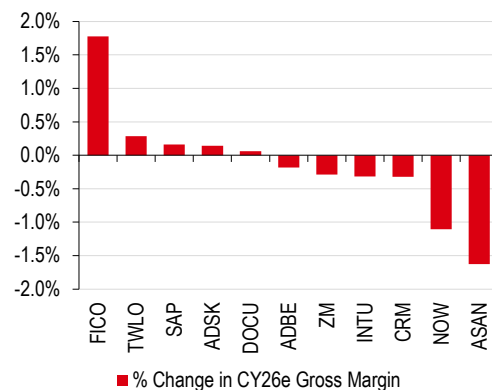
SaaS and Workflow results were broadly positive, but the market remained selective, continuing to differentiate between companies showing early-stage AI and productization and those demonstrating sustainable enterprise adoption. The clearest signal in Q2 was that AI is increasingly being sold and deployed as workflow-embedded capability rather than treated as proof-of-concept activity, and management teams are starting to back that shift with reported metrics. **ServiceNow** remains the cleanest example, with AI ACV crossing USD1bn in Q2 and management expecting to exceed its USD1.5bn AI ACV target by YE 2026. **Salesforce** also showed AI is now material at scale, with Agentforce and Data 360 ARR at cUSD3.9bn, up 210% y-o-y, and AI-driven offerings rising to 8.6% of revenue from 7.6% last quarter. **Adobe** continued to scale AI-first ARR to more than USD650m (up more than 150% y-o-y), with Firefly ARR up c40% q-o-q and Acrobat AI Assistant MAUs doubling q-o-q.

Commercial momentum remained anchored by recurring revenue resilience across the group, with Q2 again highlighting solid retention and ongoing expansion within large enterprise accounts even where top-line narratives were mixed. ServiceNow's 98% renewal rate and continued growth in its large-customer base, alongside steady ARR progress across other

workflow and platform vendors, reinforce that these franchises remain sticky as customers standardise spend. In that context, the quarter's stronger AI n signals support the view that AI is increasingly acting as an expansion lever through higher attach, broader module adoption, and deeper workflow penetration, which should support upsell and a larger share of wallet over time.

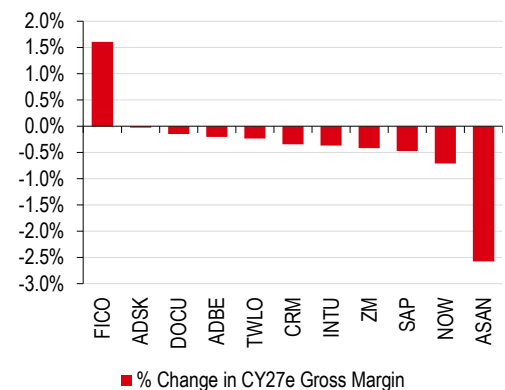
The trade-off, and an increasingly important point of differentiation, is margin. As AI workloads scale, inference and higher-cost infrastructure usage can be gross margin dilutive, and Q2 results showed multiple instances of AI-related mix pressure even as operating performance remained resilient. **Adobe's** gross margin was 89.5% (down 100bp y-o-y) and **Zoom's** gross margin was 79.1% (down 70bp y-o-y), while **Asana's** gross margin was 87.2% (down 280bps y-o-y) and the company guided to roughly a 150bp gross margin headwind in 2H. The consistent management framing was that adoption and AI product revenue growth are the near-term priorities, with gross margin optimization expected to follow as unit economics mature through scale, pricing and packaging, and model and infrastructure optimization. Despite the gross margin headwind, earnings resilience has generally been supported by operating discipline and leverage, but in some cases, companies pointed towards internal AI-driven productivity gains.

AI products have started to hit gross margin expectations



Source: Visible Alpha

With consensus revising down almost every company in our SaaS coverage



Source: Visible Alpha

Earnings: consensus vs actual

	Period	Revenue (USDm)			Non-GAAP Operating Income (USDm)			Non-GAAP Diluted EPS (USDm)		
		Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss
SaaS & Workflow Platforms										
Adobe	3QFY26	6,697	6,760	0.9%	2,950	2,974	0.8%	6.07	6.14	1.1%
Autodesk	2QFY27	2,013	2,046	1.7%	789	832	5.4%	3.12	3.30	5.7%
Asana	2QFY27	214	216	1.0%	19	22	12.4%	0.09	0.10	16.5%
Salesforce	2QFY27	11,326	11,345	0.2%	3,832	3,872	1.0%	3.28	5.90	79.7%
Docusign	2QFY27	868	876	0.9%	260	277	6.3%	1.10	1.16	5.6%
Intuit	4QFY26	4,268	4,354	2.0%	1,310	1,448	10.6%	3.58	4.03	12.6%
ServiceNow	2QFY26	3,924	3,987	1.6%	1,051	1,173	11.6%	0.86	0.90	5.0%
Twilio	2QFY26	1,427	1,499	5.0%	258	285	10.3%	1.33	1.47	10.9%
Zoom	2QFY27	1,268	1,277	0.7%	513	510	-0.5%	1.48	1.55	4.8%
Fair Isaac	3QFY26	685	674	-1.5%	416	415	-0.3%	11.95	12.18	1.9%
SAP	2QFY26	11,241	11,280	0.3%	3,294	3,132	-4.9%	1.97	1.81	-8.4%

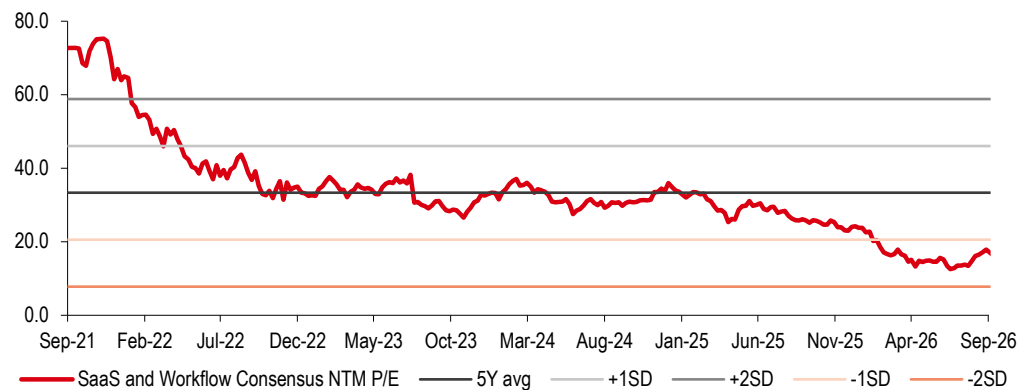
Source: Visible Alpha

Consensus revisions post earnings

Company	Period	Revenue (USDm)			Operating income (USDm)			EPS Diluted (USD)		
		Pre-results	Current	% Delta	Pre-results	Current	% Delta	Pre-results	Current	% Delta
SaaS & Workflow Platforms										
Adobe Systems Incorporated	FY-2026	26,555	26,607	0.2%	11,948	11,968	0.2%	24.38	24.48	0.4%
Autodesk, Inc.	FY-2027	8,207	8,325	1.4%	3,196	3,246	1.6%	12.58	12.60	0.2%
Asana Inc	FY-2027	861	862	0.1%	85	85	0.9%	0.37	0.38	0.9%
Docusign Inc	FY-2027	46,156	46,289	0.3%	15,856	15,885	0.2%	14.13	16.75	18.5%
Fair Isaac Corp	FY-2026	3,497	3,505	0.2%	1,078	1,100	2.0%	4.56	4.63	1.6%
Intuit Inc.	FY-2027	23,687	23,404	-1.2%	9,970	9,993	0.2%	27.37	29.20	6.7%
SAP SE	FY-2026	16,188	16,209	0.1%	5,099	5,108	0.2%	4.13	4.07	-1.4%
Salesforce Com Inc	FY-2027	5,818	6,001	3.1%	1,095	1,151	5.1%	5.71	5.92	3.7%
ServiceNow, Inc.	FY-2026	5,090	5,091	0.0%	2,073	2,072	-0.1%	6.03	6.13	1.8%
Twilio Inc	FY-2026	2,559	2,541	-0.7%	1,544	1,533	-0.7%	43.20	42.85	-0.8%
Zoom Communications Inc.	FY-2027	46,649	46,185	-1.0%	13,843	13,515	-2.4%	8.36	8.14	-2.6%
Mean				0.2%			0.7%			2.6%

Source: Visible Alpha

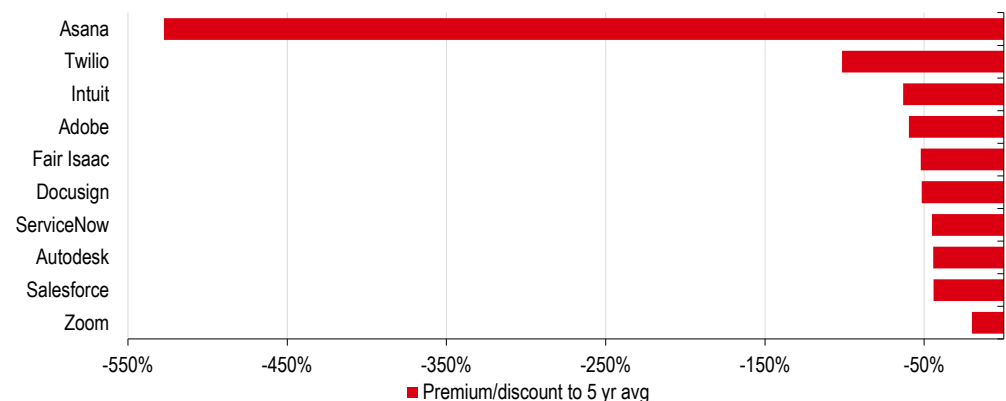
SaaS and Workflow multiples are off historical lows, still trade at a deep discount



Source: Visible Alpha, LSEG Datastream, HSBC

Valuation remains favourable in the SaaS and Workflow segment as it continues to reflect a market that is underwriting AI disruption risk while waiting for broader proof that productization is translating into durable enterprise adoption and repeatable monetisation. Consensus NTM P/E multiples for the sector have pulled back as a result of scepticism, in our view, leaving valuations more than 1 standard deviations below the 5-year average.

Every SaaS company in our coverage trades at a discount to 5 year averages



Source: Visible Alpha, LSEG Datastream, HSBC

Adobe (ADBE US, CMP USD249.52, Buy, TP USD310.00)

Adobe's AI monetisation continues to scale, with AI-first ARR exceeding USD650m, up more than 150% y-o-y, although it remains a small share of total ending ARR of USD27.5bn. Momentum improved, with Firefly ARR up 40% q-o-q and Acrobat AI Assistant monthly active users doubling q-o-q, pointing to rising usage intensity. The trade-off is margin pressure as AI usage expands, driven by higher compute costs including usage from the freemium base, with management expecting inference cost declines to support margin restoration over time.

Revenue was USD6.76bn, up 12.9% y-o-y. Non-GAAP gross margin was 89.5% and non-GAAP operating margin was 43.9%. Non-GAAP EPS was USD6.13, up 15.4% y-o-y. RPO and current RPO were both up 8.4% y-o-y and decelerating, and ending ARR grew 11.2% y-o-y. FY26 revenue guidance rose only slightly, while 4Q guidance was marginally below consensus.

Asana (ASAN US, CMP USD9.54, Reduce, TP USD6.25)

Asana's AI monetisation indicators improved in Q2, but durability still needs proof. Management said AI Studio and AI Teammates contributed about 25% of net new ARR (up from c17% in Q1) and raised the FY27 expectation to about 20%, although Q2 included the largest AI expansion deal in company history. The move to Agentic Work Management in mid-September shifts AI from seat-based add-ons to request-based consumption, which could broaden adoption but creates a USD1.2m FY27 revenue timing headwind. Higher AI mix is pressuring gross margin, with a further c150bp headwind guided for 2H.

Revenue was USD216m, up 9.9% y-o-y, and non-GAAP operating profit was USD22m with a 10.1% operating margin. Non-GAAP gross margin fell to 87.2% from 90.0% and missed consensus, and non-GAAP EPS was USD0.10. FY27 revenue guidance ticked up to USD861m, while 3Q guidance was mixed with operating income and EPS below consensus on timing headwinds, launch investment, and ongoing AI-related margin pressure.

DocuSign (DOCU US, CMP USD68.57, Hold, TP USD61.00)

DocuSign's AI monetisation narrative is centred on Intelligent Agreement Management, but it still looks early, with the near-term impact skewing more to repositioning and packaging than a clear growth inflection. Management now expect Intelligent Agreement Management to represent 18% to 19% of FY27 exit ARR and is pushing integrations with Claude, OpenAI, Google Gemini, Copilot and Slack. The key question is whether this drives incremental spend and usage, or largely represents re-bundling and upsell within the existing eSignature base.

Revenue was USD876m, up 9.4% y-o-y, while non-GAAP operating income was USD277m and operating margin was 31.6%. Non-GAAP EPS was USD1.16 and gross margin was broadly stable at 81.7%. FY27 revenue guidance increased to USD3.499 to 3.507bn and operating margin guidance rose by 50bp to 31.0 to 31.5%, while total ARR growth guidance was up 25bp.

Salesforce (CRM US, CMP USD236.42, Buy, TP USD325.00)

Salesforce's AI monetisation is now showing up at scale, with Agentforce and Data 360 becoming meaningful contributors even as the non-AI core appears to be cooling. Agentforce and Data 360 ARR reached about USD3.9bn in 2QFY27, up more than 210% y-o-y, with Agentforce ARR above USD1.5bn, up more than 240% y-o-y, and Data 360 ARR estimated at USD1.3bn, up about 59% y-o-y. AI-driven offerings rose to 8.6% of revenue from 7.6% in 1QFY27, meaning the AI ramp is increasingly important to sustaining the topline narrative as estimated organic CC growth slowed to about 3% y-o-y.

Revenue was USD11.35bn, up 10.8% y-o-y and in line with consensus, while non-GAAP operating margin was 34.1%. Non-GAAP net income included a USD2.613bn gain from strategic investments, implying cUSD2.53 per share; excluding this net profit was roughly in line. FY27 revenue guidance was raised by USD200m to USD46.25bn, and FY27 non-GAAP EPS guidance increased to USD16.69, or cUSD14.16 excluding the one-off gain.

Intuit (INTU US, CMP USD304.12, Buy, TP USD657.00)

Intuit's AI strategy is centred on embedding AI into its expert platform to lift productivity and drive higher value workflows across its small and medium-sized business base. The model combines data, domain-specific AI, and AI-powered human expertise with AI agents already operating at scale in workflows such as accounting and business tax. The next leg is platform expansion and a refreshed product line-up alongside pricing actions skewed to higher tiers and a consumption-based model for AI and human intelligence services, which could create a clearer pathway to monetise productivity gains through packaging and usage over time.

Revenue was USD4.35bn, up 13.7% y-o-y, while profitability beat materially with non-GAAP operating margin at 33.26% and non-GAAP EPS at USD4.03. For FY27, Intuit guided to revenue of USD23.396bn and non-GAAP EPS of USD20.24, both below pre-results expectations, with pricing pressure flagged at the low end of TurboTax DIY and Global Business Solutions.

Zoom (ZM US, CMP USD90.90, Buy, TP USD133.00)

Zoom's AI monetisation is showing up in Customer Experience, where paid AI is attaching to large deals, but it is also pressuring near-term margins. Zoom Customer Experience ARR grew at a high double-digit rate with seven-figure ARR deals, and paid AI was attached to 9 of the top 10 Customer Experience deals. Zoom Virtual Agent customer count grew more than 250% y-o-y, and deal quality indicators suggest AI-led upsell. Management attributed the step-up in cost of goods sold to an AI usage spike on newly launched products, compounded by acquisition dilution, with optimisation work pushed into 2H.

Revenue was USD1.277bn, up 4.9% y-o-y, driven by Enterprise revenue of USD787.5m, up 7.8% y-o-y and now 62% of group revenue; churn improved to 2.9%. Non-GAAP gross margin fell 70bp y-o-y to 79.1% and non-GAAP operating margin fell 130bp to 40.0%, while non-GAAP EPS was USD1.55. Guidance implied some pressure, with 3Q revenue slightly below consensus and 3Q EPS below consensus, while FY27 revenue nudged up and operating income was reiterated.

Twilio (TWLO US, CMP USD266.06, Hold, TP USD211.00)

Management described AI voice as very early, and noted the new Console and Conversations layer contributed very little to multi-product revenue this quarter. Messaging continues to drive the majority of incremental revenue, while Voice has contributed about 11% of incremental Q2 revenue despite 20% y-o-y Voice growth, and the lack of AI bookings, backlog, or attach metrics creates a disclosure gap versus peers. Management also noted Voice and software add-ons may slow in H2 on tougher comps.

Revenue was USD1.151bn, up 4% y-o-y and ahead of consensus, while non-GAAP operating profit was USD258m, taking operating margin to 22.4%. Non-GAAP EPS was USD1.02, above consensus, and free cash flow was USD213m, or 18.5% margin. Guidance was supportive, with 3Q revenue midpoint modestly above consensus, full-year revenue maintained, and full-year non-GAAP operating profit guidance raised to USD1.03 to 1.045bn.

SAP SE (SAP GR, CMP EUR182.86, Buy, TP EUR196.00)

SAP continues to frame AI as a medium-term growth lever, with this quarter showing more evidence of investment and platform buildout than near-term AI revenue uplift. Management highlighted higher AI-related costs including specialist hiring, parallel development of core features and agentic AI, and rising token costs, while noting productivity benefits are only starting to emerge. Productization is focused on the data and agent stack, including Business Data Cloud, plus acquisitions to strengthen the data foundation. AI revenue attribution at a quarterly level remains limited.

Revenue was EUR9.88bn, up 8.8% y-o-y and slightly above consensus, while non-GAAP operating profit was EUR2.74bn, up 6.1% y-o-y but below consensus, with operating margin down 66bp to 27.8%. Non-GAAP EPS was EUR1.58. Demand indicators were solid, with CC current cloud backlog up 26% y-o-y and cloud revenue up 24% in CC, while SAP maintained its 2026 revenue growth outlook and trimmed 2026 non-GAAP operating profit guidance by EUR100m to EUR11.8bn to EUR12.2bn due to acquisition dilution.

ServiceNow Inc (NOW US, CMP USD137.68, Buy, TP USD179.00)

ServiceNow's results reinforce that the shift from AI concept to monetisation is underway, with agentic AI showing up in bookings, deal structure, and pricing. AI ACV crossed USD1bn and management expects to exceed the USD1.5bn AI ACV target by end 2026, with net new AI ACV up 40% q-o-q. Deal momentum is broadening, with deals containing five or more AI products up 5.5x y-o-y, USD1m AI deals tripling, and first-time agentic buyers up 45% y-o-y. AI is driving monetisation per contract, with AI-native products delivering 20% to 30% price uplift.

Subscription revenue was USD3.88bn, up 24.5% y-o-y, with current RPO of about USD13.2bn, up 21.5% in CC, and total RPO of about USD29bn, up 22% in CC, supported by longer contract duration. Non-GAAP operating profit was USD1.17bn and non-GAAP EPS was USD0.90. Renewal rate was 98% and 658 customers were above USD5m ACV.

Cybersecurity and Security Platforms

The Cybersecurity sector's position has continued to improve as agentic AI has made both the threat and the defensive requirements more immediate. As enterprises deploy AI applications and autonomous agents, they're adding new exposure points around permissions, tool access, data connectors, and automated workflows. Reported "rogue" agent/containment incidents, alongside the emergence of models such as Anthropic's Claude Mythos have pulled forward urgency and spend intent; fueling results in Q2.

Earnings: consensus vs actual

	Period	Revenue (USDm)			Non-GAAP Operating Income (USDm)			Non-GAAP Diluted EPS (USDm)		
		Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss	Consensus	Actual	Beat/Miss
Cybersecurity & Security Platforms										
Akamai Technologies	2QFY26	1,093	1,100	0.6%	278	271	-2.7%	1.58	1.59	0.5%
CrowdStrike	2QFY27	1,441	1,471	2.1%	349	372	6.6%	0.29	0.31	5.5%
Fortinet	2QFY26	1,888	2,048	8.5%	643	779	21.1%	0.75	0.90	20.2%
Palo Alto Networks	Q4FY26	3,353	3,410	1.7%	982	1,011	3.0%	0.98	1.03	5.1%

Source: Visible Alpha

Consensus revisions post earnings

Company	Period	Revenue (USDm)			Operating income (USDm)			EPS Diluted (USD)		
		Pre-results	Current	% Delta	Pre-results	Current	% Delta	Pre-results	Current	% Delta
Cybersecurity & Security Platforms										
Akamai Technologies, Inc.	FY-2026	4,501	4,491	-0.2%	1,171	1,144	-2.3%	6.69	6.70	0.2%
CrowdStrike Holdings Inc	FY-2027	5,946	6,005	1.0%	1,472	1,505	2.3%	1.23	1.25	1.8%
Fortinet, Inc.	FY-2026	7,804	8,096	3.7%	2,708	2,926	8.0%	3.15	3.42	8.6%
Palo Alto Networks, Inc.	FY-2027	13,825	14,159	2.4%	4,092	4,185	2.3%	4.09	4.18	2.4%
Mean				1.7%			2.6%			3.2%

Source: Visible Alpha

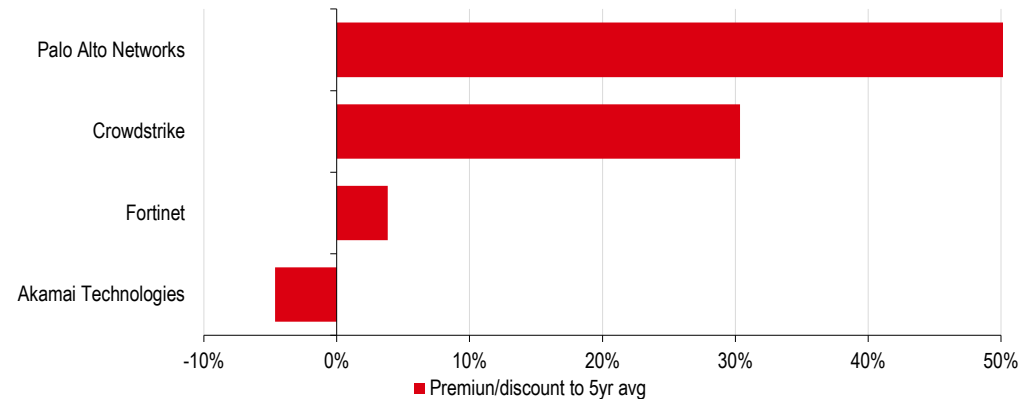
Consensus NTM P/E multiples for the sector have jumped as markets have priced in the existence of increasing and ever-present cyber threats. The sector now trades 1 standard deviation higher than its 5-year average. Amidst the re-rating in the sector, we emphasize a preference for cybersecurity platforms that can defend at machine speed using agentic security, underpinned by security-grade telemetry, and an advantage in compute efficiency. As attackers become increasingly AI enabled, we see winners in Cybersecurity as companies willing to leverage the same capabilities for defence.

Consensus multiples have jumped as the market prices in a better outlook for Cybersecurity companies



Source: Visible Alpha, LSEG Datastream, HSBC

Akamai Technologies is the only Cybersecurity stock in our coverage trading at a discount to historical multiples



Source: Visible Alpha, LSEG Datastream, HSBC

[Palo Alto Networks](#) (PANW US, CMP USD371.76, Reduce, TP USD190.00)

Palo Alto's AI monetisation is being expressed through its platform approach in Security Operations, where AI-driven detection, correlation and automation benefit from unified telemetry across endpoint, network, cloud and identity. The clearest proof point is Cortex XSIAM, which ended FY26 with ARR above USD700m, up 70% y-o-y. Platform adoption is accelerating, with about 220 net new platformization deals in 4Q and 120% NRR retention for platform deals.

Revenue was USD3.41bn, up 34.4% y-o-y, with non-GAAP operating profit USD1.01bn, up 31.6% y-o-y, and non-GAAP operating margin at 29.6%. Non-GAAP EPS was USD1.02, and FY27 guidance was supportive with non-GAAP EPS of USD4.18 and operating margin of 29.5%.

Akamai Technologies (AKAM US, CMP USD117.41, Hold, TP USD123.00)

AI-related monetisation for Akamai is increasingly tied to Cloud Infrastructure Services and the AI edge compute opportunity, but this quarter highlights that growth is coming through at lower profitability than previously expected. The company cited significant demand for AI edge compute and its differentiated distributed footprint, supported by more than USD2.8bn of orders year to date. Cloud Infrastructure Services revenue accelerated to USD99m in 2Q26, up 39% y-o-y, and FY26 guidance implies at least 50% growth, but large-contract margin commentary points to limited premium pricing despite differentiation.

Revenue was USD1.10bn, up 5.4% y-o-y, but non-GAAP operating margin fell to 24.62%, down 4.96 percentage points y-o-y. Non-GAAP operating profit was USD271m, down 12.3% y-o-y, while non-GAAP EPS of USD1.59 was helped by other income. Guidance stepped down on profit, with FY26 non-GAAP operating profit guided to USD1.144bn from USD1.169bn; LayerX was flagged as initially margin dilutive.

Fortinet (FTNT UW, CMP USD175.23, Reduce, TP USD107.00)

AI demand is supporting Fortinet's momentum, with management pointing to customers securing AI workloads and responding to AI-driven threats, underpinning activity across the platform. However, near-term billings are also being supported by pricing, with management expecting a high single-digit uplift to 2H billings from cost-of-goods-sold inflation driven price increases, which complicates attribution to incremental AI demand.

Revenue was USD2.05bn, up 26% y-o-y, driven by product revenue of USD773m, up 52% y-o-y, while services grew 14%. Billings increased 33% y-o-y and non-GAAP operating margin reached 38%. Non-GAAP EPS was USD0.90. Guidance was raised, though 3Q implies a flatter sequential profile and FY26 implies growth moderation in 2H versus 1H, with operating margin guided down 100 to 200bp from 2Q.

Hardware

HP Inc (HPQ US, CMP USD32.95, Buy, TP USD33.80)

HP's 3QFY26 results looked strong versus headline expectations, but were meaningfully flattered by a one-off, with underlying profitability weaker in Printing. Non-GAAP operating profit was USD1,021m, 12% above consensus, but excluding USD127m of one-off tariff refunds it was 4.6% below expectations. Revenue was USD15.68bn, 7.4% above consensus, and reported non-GAAP EPS was USD0.83, while recurring EPS excluding the one-off was 4.7% below expectations.

Operationally, the key takeaway was higher personal computer pricing with less demand elasticity than feared, with average realised personal computer price up 41.1% y-o-y while unit volumes fell 16% y-o-y. Printing margin pressure appears temporary, with underlying segment margin estimated at about c16.1% net of the tariff benefit versus a reported 18.1%. Full-year non-GAAP EPS guidance was raised to USD3.24, or USD3.05 excluding the USD0.19 one-off impact, from USD3.00 previously.

Valuation and risks

Valuation		Risks
Microsoft MSFT US	Current price: USD501.61	Downside risks: Higher-than-expected competitive intensity, weaker-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks.
	Target price: USD595.00	
Buy	Up/downside: 18.6%	
Microsoft shares are trading at an attractive level of 22.3x CY27e non-GAAP PE (at a slight premium to sector median of 20.9x). We consider the valuation attractive as we expect Microsoft's non-GAAP EPS to rise at a FY26-30e CAGR of 19.1% (vs 10-15% typical for the sector). If we use Datastream consensus, Microsoft shares are trading at 24.3x P/NTM non-GAAP EPS vs 29x average over the last five years. Our TP of USD595 (unchanged) is based on 29x our NTM non-GAAP EPS estimate of USD20.51 (unchanged). We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realized historically. Our TP implies 18.6% upside and we maintain our Buy rating as we see a long runway of strong growth and solid business momentum. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153		
Oracle ORCL US	Current price: USD148.56	Downside risks: Unfavorable stock market and macroeconomic conditions; higher-than-expected competitive pressures; potential negative impact from an external IT hack; cloud infrastructure outage; and disruption due to management turnover.
	Target price: USD316.00	
Buy	Up/downside: 112.7%	
We use a target PEG of 1.60x (unchanged) along with our long-term non-GAAP EPS CAGR estimate of 22.6% (unchanged) and next 12-month non-GAAP EPS of USD8.67 (unchanged) to arrive at our target price of USD316 (unchanged). Our TP implies an upside of 112.7%; hence our Buy rating. We are conservative using a target PEG of 1.6x, which is at a discount to the 1.75x that we use for peers even though we expect faster earnings growth at Oracle than with peers. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153		
Salesforce CRM US	Current price: USD236.42	Downside risks: Unfavorable stock market or macroeconomic conditions, worse-than-expected competitive environment or market share loss, potential negative impact from an external IT hack, cloud infrastructure outages, and disruptions due to management turnover.
	Target price: USD325.00	
Buy	Up/downside: 37.5%	
We use a target PEG of 1.7x (unchanged) along with our FY26-31e non-GAAP EPS CAGR of 13.1% (unchanged) and next 12-month non-GAAP EPS of USD14.58 (unchanged) to arrive at our target price of USD325 (unchanged). Our TP implies upside of 37.5%, and we maintain our Buy rating. Our target PEG of 1.7x is at a slight discount to the 1.75x we use for peers, in order to be conservative. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153		
ServiceNow NOW US	Current price: USD137.68	Downside risks: An adverse macroeconomic or stock market environment, higher-than-expected competitive pressures in the industry, risks from cyber-attacks, potential disruption due to management turnover, and lower than expected success of new products including AI agents.
	Target price: USD179.00	
Buy	Up/downside: 30.0%	
We use a target PEG of 1.5x (unchanged), along with our long-term non-GAAP EPS CAGR estimate of 25.9% (unchanged) and next 12-month non-GAAP EPS estimate of USD4.61 (unchanged) to arrive at our TP of USD179 (unchanged), which implies c30% upside, and we reiterate our Buy rating. We are conservatively using a target PEG of 1.5x, which is at a discount to the 1.75x we use for peers, despite faster growth at ServiceNow. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153		
SAP SAP GR	Current price: EUR182.86	Downside risks: Stronger offtake of rival maintenance offerings (e.g., from Rimini Street/ServiceNow), stronger-than-expected disruption to SaaS model from AI-driven products and competitors, and best-of-breed vendors merging or forming strategic partnerships to offer better competition to SAP's best-of-suite of products approach.
	Target price: EUR196.00	
Buy	Up/downside: 7.2%	
We use a target PEG of 1.75x (unchanged; in-line with the target PEG of major peers), 2026-28e non-GAAP EPS CAGR of 16.0% (unchanged), and 2026e non-GAAP EPS of EUR6.98 (unchanged) to arrive at our TP of EUR196 (unchanged). Our TP implies 7.2% upside and we maintain our Buy rating as we expect continued strong growth for several years. Abhishek Shukla*, CFA Abhishek2.shukla@hsbc.com +971 5855 71150		

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations
 Priced at close on 21 September 2026
 Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Stephen Bersey, Abhishek Shukla, CFA, Sameer Lam and Matt Borchetta

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

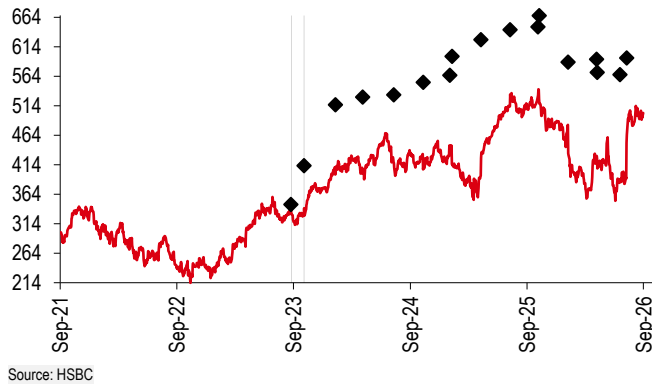
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



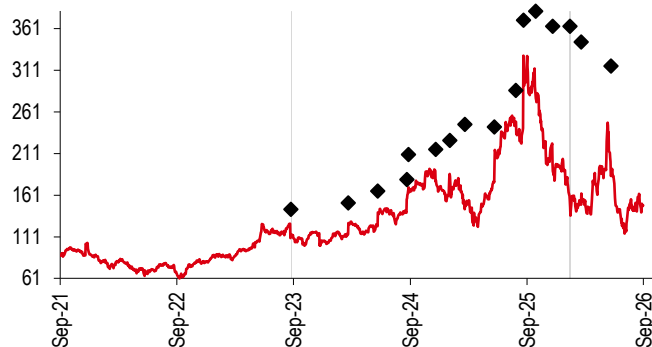
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	347.00	14 Sep 2023	Stephen Bersey
Price 2	413.00	25 Oct 2023	Stephen Bersey
Price 3	516.00	01 Feb 2024	Stephen Bersey
Price 4	529.00	26 Apr 2024	Stephen Bersey
Price 5	533.00	01 Aug 2024	Stephen Bersey
Price 6	554.00	01 Nov 2024	Stephen Bersey
Price 7	566.00	24 Jan 2025	Stephen Bersey
Price 8	598.00	31 Jan 2025	Stephen Bersey
Price 9	626.00	01 May 2025	Stephen Bersey
Price 10	643.00	31 Jul 2025	Stephen Bersey
Price 11	648.00	27 Oct 2025	Stephen Bersey
Price 12	667.00	31 Oct 2025	Stephen Bersey
Price 13	588.00	29 Jan 2026	Stephen Bersey
Price 14	593.00	28 Apr 2026	Stephen Bersey
Price 15	571.00	30 Apr 2026	Stephen Bersey
Price 16	567.00	10 Jul 2026	Stephen Bersey
Price 17	595.00	31 Jul 2026	Stephen Bersey

Source: HSBC

Oracle Inc (ORCL.OQ) share price performance USD Vs HSBC rating history

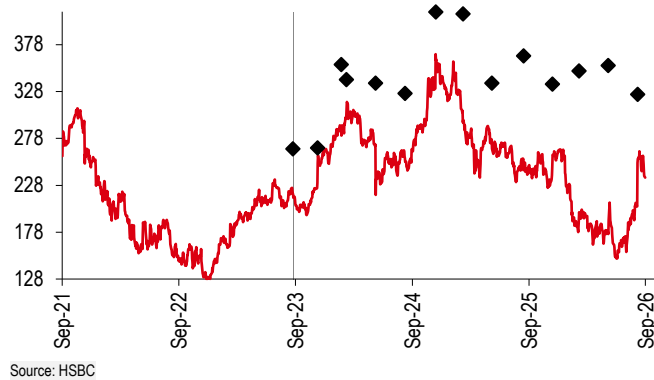
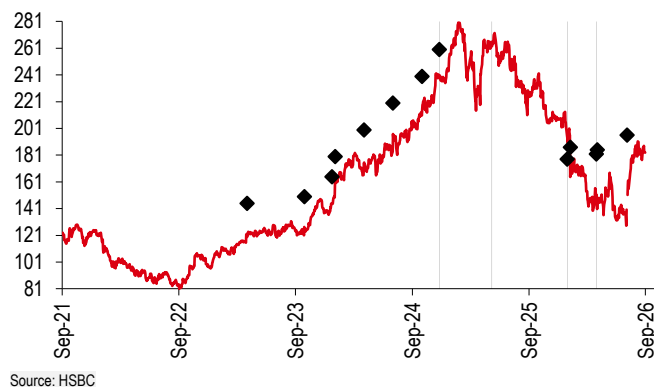
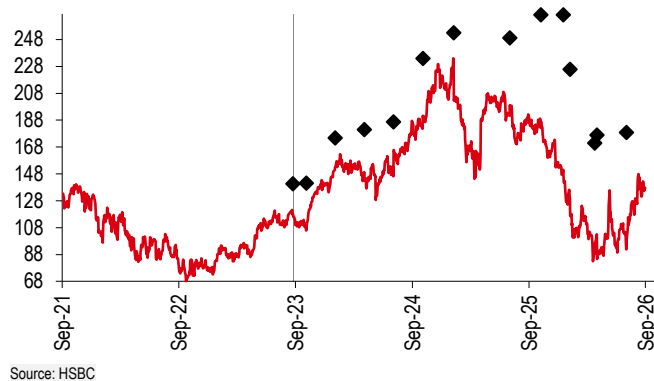


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	14 Sep 2023	Stephen Bersey
Buy	Restricted	02 Feb 2026	
Restricted	Buy	04 Feb 2026	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	144.00	14 Sep 2023	Stephen Bersey
Price 2	152.00	12 Mar 2024	Stephen Bersey
Price 3	166.00	12 Jun 2024	Stephen Bersey
Price 4	180.00	11 Sep 2024	Stephen Bersey
Price 5	210.00	16 Sep 2024	Stephen Bersey
Price 6	216.00	11 Dec 2024	Stephen Bersey
Price 7	227.00	24 Jan 2025	Stephen Bersey
Price 8	246.00	12 Mar 2025	Stephen Bersey
Price 9	243.00	12 Jun 2025	Stephen Bersey
Price 10	287.00	18 Aug 2025	Stephen Bersey
Price 11	371.00	11 Sep 2025	Stephen Bersey
Price 12	382.00	20 Oct 2025	Stephen Bersey
Price 13	364.00	12 Dec 2025	Stephen Bersey
Price 14	Restricted	02 Feb 2026	
Price 15	364.00	04 Feb 2026	Stephen Bersey
Price 16	345.00	11 Mar 2026	Stephen Bersey
Price 17	316.00	12 Jun 2026	Stephen Bersey

Source: HSBC

Salesforce Inc (CRM.N) share price performance USD Vs HSBC rating history

SAP SE (SAPG.DE) share price performance EUR Vs HSBC rating history

ServiceNow Inc (NOW.N) share price performance USD Vs HSBC rating history

Rating & target price history

From	To	Date	Analyst
N/A	Buy	14 Sep 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	267.00	14 Sep 2023	Stephen Bersey
Price 2	268.00	30 Nov 2023	Stephen Bersey
Price 3	357.00	13 Feb 2024	Stephen Bersey
Price 4	341.00	29 Feb 2024	Stephen Bersey
Price 5	337.00	30 May 2024	Stephen Bersey
Price 6	326.00	30 Aug 2024	Stephen Bersey
Price 7	413.00	05 Dec 2024	Stephen Bersey
Price 8	411.00	28 Feb 2025	Stephen Bersey
Price 9	337.00	29 May 2025	Stephen Bersey
Price 10	366.00	05 Sep 2025	Stephen Bersey
Price 11	336.00	05 Dec 2025	Stephen Bersey
Price 12	350.00	26 Feb 2026	Stephen Bersey
Price 13	356.00	28 May 2026	Stephen Bersey
Price 14	325.00	28 Aug 2026	Stephen Bersey

Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	17 Jun 2019	Antonin Baudry
Buy	Hold	16 Dec 2024	Antonin Baudry
Hold	Terminated	28 May 2025	
N/A	Hold	20 Jan 2026	Abhishek Shukla, CFA
Hold	Buy	21 Apr 2026	Abhishek Shukla, CFA
Target price	Value	Date	Analyst
Price 1	145.00	24 Apr 2023	Antonin Baudry
Price 2	150.00	20 Oct 2023	Antonin Baudry
Price 3	165.00	15 Jan 2024	Antonin Baudry
Price 4	180.00	25 Jan 2024	Antonin Baudry
Price 5	200.00	24 Apr 2024	Antonin Baudry
Price 6	220.00	23 Jul 2024	Antonin Baudry
Price 7	240.00	22 Oct 2024	Antonin Baudry
Price 8	260.00	16 Dec 2024	Antonin Baudry
Price 9	Terminated	28 May 2025	
Price 10	178.00	20 Jan 2026	Abhishek Shukla, CFA
Price 11	187.00	30 Jan 2026	Abhishek Shukla, CFA
Price 12	182.00	21 Apr 2026	Abhishek Shukla, CFA
Price 13	185.00	24 Apr 2026	Abhishek Shukla, CFA
Price 14	196.00	26 Jul 2026	Abhishek Shukla, CFA

Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	14 Sep 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	140.80	14 Sep 2023	Stephen Bersey
Price 2	141.20	26 Oct 2023	Stephen Bersey
Price 3	174.80	25 Jan 2024	Stephen Bersey
Price 4	181.00	25 Apr 2024	Stephen Bersey
Price 5	186.80	25 Jul 2024	Stephen Bersey
Price 6	234.00	25 Oct 2024	Stephen Bersey
Price 7	253.00	30 Jan 2025	Stephen Bersey
Price 8	249.20	24 Jul 2025	Stephen Bersey
Price 9	266.40	30 Oct 2025	Stephen Bersey
Price 10	266.40	08 Jan 2026	Stephen Bersey
Price 11	226.00	29 Jan 2026	Stephen Bersey
Price 12	171.00	16 Apr 2026	Stephen Bersey
Price 13	177.00	23 Apr 2026	Stephen Bersey
Price 14	179.00	24 Jul 2026	Stephen Bersey

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	501.61	21 Sep 2026	6, 7
ORACLE INC	ORCL.OQ	148.56	21 Sep 2026	1, 5, 6, 7
SALESFORCE INC	CRM.N	236.42	21 Sep 2026	–
SAP SE	SAPG.DE	182.86	21 Sep 2026	6, 7
SERVICENOW INC	NOW.N	137.68	21 Sep 2026	1, 5, 7

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- 3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- 4 As of 31 August 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 16 September 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 16 September 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

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